

Low Volatility due to stock-specific factors

Due to low stock-specific dependence, we have low volatility in the overall portfolio. When stock prices fluctuate, it is due to the following three factors:

- **Market-specific Factors**
- **Industry-specific factors**
- **Stock-specific factors**

Market-specific Factors:

- Market-specific factors are those that have an impact on the entire market, regardless of the stock or industry.
- For example, if a pandemic like COVID occurs, it affects the entire market, irrespective of the company involved, and the entire market is in anxiety. Such factors have an impact on the market as a whole.

Industry-specific factors:

- Let us take an example to understand Industry-Specific factors.
- What if interest rates prevailing in the market rise? It will have an immediate impact on the banking and real estate industry.
- These include factors that affect all companies in a given sector.

Stock-specific factors:

- If a company is launching a new product.
- If a company gets sued.
- All these factors are specific to a particular stock or company are called stock specific factors. They affect the price of just that one stock.
- If a company is not performing well, we will classify all of the above as stock-specific factors.
- When we have stock-specific factors, the entire industry will benefit.
- All of these are stock-specific characteristics that have an impact on equities to which these variables are linked. They're very unpredictable.